

24TRCV04383 24TRCV04383

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Case Number: 24TRCV04383 Hearing Date: September 15, 2026 Dept: 5

Superior Court of California

County of Los Angeles – SOUTHWEST District

Department

5

GRAIN PROCESSING CORPORATION

;

Plaintiff,

vs.

VIRGIN SCENT, INC.

, et al.;

Defendants.

Case

No.:

24TRCV04383

Hearing

Date:

September
15, 2026

Time:

8:30 a.m.

[tentative]

Order RE:

(1) DEFENDANTS

YAAKOV NOUROLLAH, AKIVA NOUROLLAH, YOSEF NOUROLLAH, AND YEHUDA NOUROLLAH'S
MOTION TO STAY

(2) PLAINTIFF

GRAIN PROCESSING CORPORATION'S MOTION TO OVERRULE OBJECTIONS TO THIRD-PARTY
SUBPOENA FOR BANK RECORDS

(3) PLAINTIFF

GRAIN PROCESSING CORPORATION'S REQUEST FOR MONETARY SANCTIONS

Motion

to Stay

MOVING PARTY: Defendants, Yaakov Nourollah,
Akiva Nourollah, Yosef Nourollah, and Yehuda Nourollah

Joinder – Defendant, Iron Rock Ventures,
LLC

RESPONDING

PARTY: Plaintiff, Grain Processing
Corporation

Motion

to Overrule Objections

MOVING PARTY: Plaintiff, Grain Processing
Corporation

RESPONDING PARTY: Defendants, Yaakov Nourollah, Akiva
Nourollah, Yosef Nourollah, and Yehuda Nourollah

(1)

Defendants

Yaakov Nourollah, Akiva Nourollah, Yosef Nourollah, and Yehuda Nourollah's

Motion to Stay is GRANTED pursuant to Keating v. Office of Thrift

Supervision (9th Cir. 1985) 45 F.3d 322.

(2) Plaintiff Grain Processing Corporation's

Motion to Overrule Objections to Third-Party Subpoena for Bank Records is CONTINUED

pursuant to Code of Civil Procedure section 1987.1, subdivision (a).

(3) Plaintiff Grain Processing Corporation's

Request for Monetary Sanctions is CONTINUED pursuant to Code of Civil Procedure

section 1987.2, subdivision (a).

Regarding the motion to stay,

the Court considers the moving papers filed on June 16, 2026, the joinder filed

on June 30, 2026, the opposition brief filed on September 1, 2026, and the

reply brief filed on September 8, 2026.

Regarding the motion to

overrule objections, the Court considers the moving papers filed on June 18,

2026, the opposition brief filed on August 26, 2026, and the reply brief filed

on September 1, 2026.

BACKGROUND

Factual Background

On December 23, 2024, plaintiff Grain Processing Corporation ("Plaintiff")

filed the Complaint against defendants Virgin Scent, Inc. ("VSI"), Yaakov

Nourollah, Akiva Nourollah, Yosef Nourollah, Yehuda Nourollah, Superdudes, 132

Williaman Holdings LLC, Psalm 91 LLC, Red Croft Management, LLC, Grand Oaks

LLC, Red Rock 40 LLC, Iron Rock Ventures LLC ("IRV"), and DOES 1 through 100. The Complaint includes the following causes of

action: (1) Intentional Fraudulent Transfer; (2) Constructively Fraudulent

Transfer; (3) Intentional Fraudulent Transfer; (4) Constructively Fraudulent

Transfer; (5) Intentional Fraudulent Transfer; (6) Constructively Fraudulent Transfer; and (7) Conspiracy to Commit Fraudulent Transfer(s) against All Defendants.

On July 22, 2026, the parties filed the Stipulation to Continue Trial and Related Deadlines.

Procedural
Background

Motion
to Stay

On June 16, 2026, defendants Yaakov Nourollah, Akiva Nourollah, Yosef Nourollah, and Yehuda Nourollah (collectively, "Defendants") filed the motion to stay. On June 30, 2026, IRV filed a joinder to the motion. On September 1, 2026, Plaintiff filed an opposition brief. On September 8, 2026, Defendants filed a reply brief.

Motion
to Overrule Objections

On June 18, 2026, Plaintiff filed the motion to overrule objections. On August 26, 2026, Defendants filed an opposition brief. On September 1, 2026, Plaintiff filed a reply brief.

MOTION TO STAY

Request for Judicial Notice

Filed concurrently with its opposition papers, Plaintiff has filed a Request for Judicial Notice ("RJN"), requesting this Court take judicial notice of:

1.

Current court docket concerning the case of The People of the State of California v. Virgin Scent, et al., Case No. TA157794, Exhibit 1.

The Court GRANTS this request and takes judicial notice of the existence of the document as a "[r]ecord[]" of (1) any court of this state or (2) any court of record of the United States or of any state of the United States[.]" in accordance with Evidence Code section 452, subdivision (d). However, the Court will not take judicial notice of the truth of the matters presented in these documents since they are subject to interpretation. (See L.B. Research & Education Foundation v. UCLA Foundation (2005) 130 Cal.App.4th 171, 180, fn. 2, citing *Comings v. State Bd. of Education* (1972) 23 Cal.App.3d 94.)

Legal Standards

"The Constitution does not ordinarily require a stay of civil proceedings pending the outcome of criminal proceedings. [Citations.] In the absence of substantial prejudice to the rights of the parties involved, [simultaneous] parallel [civil and criminal] proceedings are unobjectionable under our jurisprudence. [Citation.] Nevertheless, a court may decide in its discretion to stay civil proceedings ... when the interests of justice seem [] to require such action. [Citation.]" (*Keating v. Office of Thrift Supervision* (9th Cir. 1985) 45 F.3d 322, 324, internal citations and quotations omitted (*Keating*).)

"The decision whether to stay civil proceedings in the face of a parallel criminal proceeding should be made 'in light of the particular circumstances and competing interests involved in the case.' [Citation.] This means the decisionmaker should consider 'the extent to which the defendant's fifth amendment rights are implicated.' [Citation.] In addition, the decisionmaker should generally consider the following factors: (1) the interest of the plaintiffs in proceeding expeditiously with this litigation or any particular aspect of it, and the potential prejudice to plaintiffs of a delay; (2) the burden which any particular aspect of the proceedings may impose on defendants; (3) the convenience of the court in the management of its cases, and the efficient use of judicial resources; (4) the interests of persons not parties to the civil litigation; and (5) the interest of the public in the pending civil and criminal litigation. [Citation.]" (*Keating, supra*, 45 F.3d at pp. 324-325, internal citations omitted.)

Discussion

Defendants and IRV request a

stay of this action due to a pending criminal case involving VSI, Yaakov Nourollah, Akiva Nourollah, Yosef Nourollah, and Yehuda Nourollah. (Motion, pp. 1:3-2:5.) However, the criminal charges against Yosef Nourollah have been dismissed, while Virgin Scent, Inc., Yaakov Nourollah, Akiva Nourollah, and Yehuda Nourollah have all entered a plea of no contest to the charges, with only the restitution amount remaining in dispute. (Motion, p. 1:5-6, fn. 2; Declaration of Benjamin R. Joelson re: Stay (“Joelson Decl. re: Stay”), ¶¶ 6-7, Exhs. F-G; Opp., p. 4:2-6, 20-21; Declaration of Valerie Bantner Peo re: Stay (“Peo re: Stay”), ¶¶ 23-24, Exh. 6.) Currently, “[a] conference in the criminal case is set for October 15, 2026 to schedule that [restitution] hearing, which is expected to take place in late 2026 or early 2027.” (Reply, p. 3:10-11).

Extent

to Which Defendants’ Fifth Amendment Rights Are Implicated

The Court observes that

Defendants’ right against self-incrimination can be asserted even after a plea of no contest, particularly in a pending restitution hearing.

“In *People v. Kizzee*

(1979) 94 Cal.App.3d 927 [156 Cal.Rptr. 784], the dispositive issue was whether an accused awaiting sentencing retained his Fifth Amendment privilege. The appellate court held at page 938 that ‘an accused does not lose his privilege against self-incrimination until he has been sentenced.’ Thus, while it is

uncertain whether the privilege survives until the convict has served a determinate sentence, it is clear in California that one retains the privilege at least until he has been sentenced and, if he appeals, pending resolution of the appeal.” (*People v. Fonseca* (1995)

36 Cal.App.4th 631, 634-635.) “While ‘the

primary purpose of mandatory restitution ... is reimbursement for the economic loss and disruption caused to a crime victim by the defendant’s criminal conduct’ (*People v. Runyan* (2012) 54 Cal.4th 849, 865, 143 Cal.Rptr.3d 674, 279 P.3d 1143), ‘the requirement that a convicted criminal defendant pay restitution for the losses caused by his crime has aims beyond strict

compensation that include deterrence and rehabilitation’ (*ibid.*). As such, ‘[r]estitution hearings held pursuant to [Penal Code] section 1202.4 are sentencing hearings and are thus hearings

which are a significant part of a criminal prosecution”. (*People v. Dehle* (2008) 166 Cal.App.4th 1380, 1386, 83 Cal.Rptr.3d 461.)” (*People v. Petronella* (2013) 218 Cal.App.4th 945, 968.)

However, the Court notes that this right does not extend to corporations, including IRV. (See *Avant! Corp. v. Superior Court* (2000) 79 Cal.App.4th 876, 883-884.) Consequently, Defendants, excluding IRV and Yosef Nourollah, may assert their right against self-incrimination.

Defendants assert that a parallel criminal case is currently pending, and they emphasize that “[c]entral to both cases is [] Defendants’ alleged conduct as officers of VSI, including the storage and handling of VSI’s hand sanitizer, their responses to notices from FDA regarding VSI’s hand sanitizer, the warehouse fire, and authority and control over VSI’s activities.” (Motion, p. 5:23-26.)

According to the Amended Information in *People v. Virgin Scent, et al.*, Defendants and VSI are alleged to have mishandled pollutants and hazardous materials, failed to take necessary precautions to prevent mishandling, neglected to minimize fire risk, and failed to submit and implement a business plan for the handling and storage of these materials. (Joelson Decl. re: Stay, ¶ 10, Exh. F.) The transcript from the preliminary hearing verifies that the hazardous material involved is hand sanitizer containing alcohol. (Joelson Decl. re: Stay, ¶ 8, Exh. G, pp. 4:11-5:16.) However, the Complaint primarily centers on allegations that Defendants “transferred more than \$13.4 million from VSI to themselves and others, including through purchases of expensive real property.” (Opp., p. 8:24-25.) While the criminal and civil cases appear to address distinct issues, the Court recognizes a significant overlap.

Defendants inform the Court, “The alter ego and corporate control theory is at the heart of both the civil and criminal cases (including the upcoming restitution hearing). ... The criminal prosecution relies on the responsible corporate officer doctrine[.]” (Reply, p. 5:20-21.) They assert that the state is “seeking over \$50 million in restitution based on [] Defendants’ responsibility as officers and board members of VSI, their control and domination of the company, and the storage of materials linked to damages.” (Reply, p. 4:20-22.) “The civil alter ego theory requires the same showing: that the individual defendants exercised such control over VSI as to

impute personal liability.” (Reply, p. 5:20-23.)

Plaintiff’s own discovery confirms that it is seeking information pertaining to Defendants’ “roles, responsibilities, and control over VSI – the same facts the prosecution will rely on at the restitution hearing.” (Reply, p. 6:7-8.) Plaintiff’s requests for the production of documents specifically relate to Akiva Nourollah’s involvement with VSI, the work performed on behalf of VSI, and “VSI’s financial books and records, board meeting minutes, and board resolutions.”

(Reply, p. 6:2-6; Supplemental Declaration of Benjamin R. Joelson re: Stay (“Suppl. Joelson Decl. re: Stay”), ¶ 2, Exh. A.) The Court notes that these requests are found in a deposition notice, making it highly probable that Plaintiff’s counsel will be seeking further testimony regarding these documents.

The Court acknowledges that providing information in response to these discovery requests may “tend to show that [] Defendants were in charge of compliance, had knowledge of or acted recklessly with respect to the treatment, handling, or storage of hazardous waste, and were personally aware of or involved in handling violations[.]” thereby potentially “furnish[ing] evidence the government needs for the criminal restitution proceeding, where the prosecution is expected to rely on [] Defendants’ positions of responsibility as officers and board members to establish the scope of restitution.” (Reply, p. 6:13-15.)

Moreover, the subpoenas issued by Plaintiff highlight a significant overlap with the ongoing criminal case.

“Plaintiff served a subpoena on the FDA seeking every document and communication relating to VSI, [] Defendants, and Day to Day Imports, including documents relating to the testing of products, complaints, and warning letters regarding VSI’s hand sanitizer.” (Reply, p. 6:19-22; Joelson Decl. re: Stay, ¶ 3, Exh. B.) It is perplexing for Plaintiff to assert that the “allegations that Defendants used related entities to avoid a civil judgment present different questions from a criminal prosecution concerning a warehouse fire and hazardous materials[.]” while simultaneously seeking documents that are inherently related to the criminal case. (Opp., p. 9:16-18.) Plaintiff’s position appears inconsistent.

Further, the Court emphasizes that Plaintiff’s Complaint includes a dedicated section entitled: “The FDA Recalls Virgin Scent’s Hand Sanitizer and a Warehouse Fire Destroys Virgin Scent’s Inventory.” (Compl. p. 8:7-8.) This section, in conjunction with the requested and subpoenaed discovery, implies that Defendants’ right against

self-incrimination is at risk if discovery proceeds in this civil matter prior to the resolution of the criminal case.

Consequently, these considerations lend strong support for the granting of a stay.

Interest of Plaintiff in Proceeding Expeditiously
with this Litigation or Any Particular Aspect of It, and the Potential Prejudice
to Plaintiff of a Delay

Plaintiff contends that the granting of a stay “risks further asset dissipation, loss of financial information, faded recollection, and continued obstruction. Further delay may make those assets and the evidence concerning their disposition more difficult.” (Opp., p. 11:20-22.) Plaintiff believes that if a stay is granted, Defendants will “move assets and make evidence harder to obtain and uncover.” (Opp., p. 11:17-18.)

The Court acknowledges that a stay could potentially lead to asset dissipation and diminished recollection. Nevertheless, Plaintiff should still have the opportunity to acquire essential financial information, including details regarding the movement of assets, through discovery and subpoenas. Granting the stay would not be construed as “obstruction,” as Plaintiff would not be entitled to discovery during the stay.

Additionally, the Court observes that Defendants argue Plaintiff would not suffer significant prejudice as a result of this delay, referencing the fact that Plaintiff has not yet taken steps to satisfy the judgment against VSI obtained in federal court; Defendants also highlight that Plaintiff previously filed a motion to continue the trial. (Reply, p. 8:8-18.) The Court finds this argument to be of limited merit, given that Plaintiff appears to be pursuing satisfaction of the federal judgment through this current action, and the motion to continue the trial was filed only after Defendants had declined to provide discovery responses.

Consequently, these considerations lend slight support to the decision to deny a stay.

The Burden which Any Particular Aspect of the
Proceedings May Impose on Defendants

As discussed above, Defendants have identified several aspects of the discovery process that will impose a burden on their right against self-incrimination, specifically the production of documents and anticipated testimony in depositions. Additionally, Defendants present a general argument asserting that “[q]uestions about their roles at VSI, their knowledge of VSI’s finances, and their control of the company go directly to both the civil alter ego claims and the criminal restitution issues.” (Reply, pp. 8:27-9:1.) The Court concurs with this perspective, determining that Defendants will “continue to face depositions, interrogatories, and document requests that implicate their Fifth Amendment rights” unless a stay is granted.

Consequently, these considerations provide modest support for the granting of a stay.

The Convenience of the Court in the Management of its Cases and the Efficient Use of Judicial Resources

Plaintiff asserts that “[a] stay would not simplify the merits: regardless of the criminal case’s outcome, the parties must still litigate whether Defendants transferred, concealed, or diverted assets to avoid [Plaintiff’s] judgment. A stay would not promote judicial economy or efficient case management. Allowing this action to continue better serves judicial economy.” (Opp., p. 12:17-20.)

Nothing in this argument suggests that judicial economy would be better served by denying the stay. The case will ultimately require litigation, irrespective of whether the Court grants the stay. Nevertheless, Defendants maintain that if this motion is denied, they will be compelled to “inevitably invoke the Fifth Amendment at depositions and in written discovery, generating repeated motion practice over the propriety of each assertion. This is exactly the type of wasteful, piecemeal litigation that a stay is designed to prevent.” (Reply, p. 9:10-12.) Precisely. Absent a stay, judicial economy will be thwarted.

Consequently, these considerations provide modest support for the granting of a stay.

The Interests of Persons Not Parties to the Civil Litigation

This factor is inapplicable as
neither party provided contentions.

The Interest of the Public in the Pending Civil and Criminal Litigation

The Court acknowledges the
existence of competing public interests within this case. Plaintiff asserts, "The public has a
significant interest in a judicial system that permits parties to resolve
disputes, obtain discovery to support legal claims and enforce judgments
efficiently. It is against public
interest to reward a group of
individuals who continually fail to comply with discovery obligations with a
sweeping stay of civil litigation
against them." (Opp., pp. 12:26-13:2.) Although this viewpoint is appreciated, "[t]he
public has a far greater interest in protecting Fifth Amendment rights than in
favoring the expeditious collection of [Plaintiff's] judgment in a private
contract dispute over money. The Fifth
Amendment is a cornerstone of the United States' Constitution. The public interest is served, not undermined,
by a brief stay that protects these fundamental constitutional guarantees." (Reply, p. 9:18-21.) Consequently, these
considerations provide modest
support for the granting of a stay.

On balance, Defendants' motion
for stay of the action is GRANTED. This
stay encompasses the entirety of the case, as Defendants are alleged to be
associated with, own, or otherwise control all named corporate defendants. (See generally Complaint.) Consequently,
any discovery related to the corporate defendants will inherently involve and may
implicate Defendants.

MOTION TO OVERRULE OBJECTIONS

Legal Standards

Under California law, "discovery from a nonparty may be
obtained only by 'deposition subpoena.'" (Unzipped Apparel, LLC v. Bader (2007) 156 Cal.App.4th 123, 130 (Unzipped),
citing Code Civ. Proc., § 2020.010, subd. (b).)

A party seeking discovery from a person who is not a party to the

action may obtain discovery by oral deposition, written deposition, or deposition for production of business records.

(Code of Civ. Proc., § 2020.010.)

A deposition subpoena may command: (1) only the attendance and testimony of the deponent, (2) only the production of business records for copying, or (3) the attendance and testimony of the deponent, as well as the production of business records, other documents, electronically stored information, and tangible things. (Code of Civ. Proc., § 2020.020.)

Service of a deposition subpoena shall be effected a sufficient time in advance of the deposition to provide the deponent a reasonable opportunity to locate and produce any designated documents and, where personal attendance is commanded, a reasonable time to travel to the place of deposition. (Code of Civ. Proc., § 2020.220, subd.

(a).) Personal service of any deposition

subpoena is effective to require a deponent who is a resident of California to: personally appear and testify, if the subpoena so specifies; to produce any specified documents; and to appear at a court session if the subpoena so specifies. (Code of Civ. Proc., § 2020.220, subd. (c).)

When a nonparty is served with a deposition subpoena but fails to attend the deposition, refuses to be sworn as a witness, or declines to provide the requested records, the party that served the subpoena may move for an order directing compliance with the subpoena and imposing other terms or conditions as the judge considers appropriate.

(Code Civ. Proc., § 1987.1, subd. (a).)

Notably, Code of Civil Procedure section 1987.1 does not impose a meet-and-confer requirement.

However, “[t]he court shall limit the scope of discovery if it determines that the burden, expense, or intrusiveness of that discovery clearly outweighs the likelihood that the information sought will lead to the discovery of admissible evidence.” (Code Civ.

Proc., § 2017.020, subd. (a).) Moreover,

“[t]he court shall restrict the frequency or extent of use of a discovery method provided in Section 2019.010 if it determines either of the following: ¶ (1) The discovery sought is unreasonably cumulative or duplicative, or is obtainable from some other source that is more convenient, less burdensome, or less expensive.

¶ (2) The selected method of discovery is unduly burdensome or expensive, taking into account the needs of the case, the amount in controversy, and the importance of the issues at stake in the litigation.” (Code Civ. Proc., § 2019.030, subd. (a).)

“Except as specified in subdivision (c), in making an order pursuant to motion made under subdivision (c) of Section 1987 or under Section 1987.1, the court may in its discretion award the amount of the reasonable expenses incurred in making or opposing the motion, including reasonable attorney's fees, if the court finds the motion was made or opposed in bad faith or without substantial justification or that one or more of the requirements of the subpoena was oppressive.” (Code Civ. Proc., § 1987.2, subd. (a).)

Under Code of Civil Procedure section 2023.030, subdivision (a), “The court may impose a monetary sanction ordering that one engaging in the misuse of the discovery process, or any attorney advising that conduct, or both pay the reasonable expenses, including attorney's fees, incurred by anyone as a result of that conduct. The court may also impose this sanction on one unsuccessfully asserting that another has engaged in the misuse of the discovery process, or on any attorney who advised that assertion, or on both. If a monetary sanction is authorized by any provision of this title, the court shall impose that sanction unless it finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust.” (Code Civ. Proc., § 2023.030, subd. (a).) “Misuses of the discovery process include ... (d) Failing to respond or to submit to an authorized method of discovery.” (Code Civ. Proc., § 2023.010, subd. (d).)

Discussion

Plaintiff moves to overrule “the objections of third parties Day to Day Imports Inc., 1942 Management LLC, and TYH Management, Inc. (together, the ‘Objecting Third Parties’) to the subpoena served by [Plaintiff] (the ‘Subpoena’) on Chase Bank (‘Chase’). Additionally, pursuant to Code of Procedure section 1987.2, [Plaintiff] also moves for an order requiring the Objecting Third Parties to pay [Plaintiff] its reasonable attorney's fees of \$14,725.” (Notice of Motion, p. 2:3-9.) However, as the proceedings in this case are currently stayed, these matters will be CONTINUED and addressed on _____.

ORDERS

1) Defendants

Yaakov Nourollah, Akiva Nourollah, Yosef Nourollah, and Yehuda Nourollah's
Motion to Stay is GRANTED.

2) Plaintiff

Grain Processing Corporation's Motion to Overrule Objections to Third-Party
Subpoena for Bank Records is CONTINUED to _____.

3) Plaintiff

Grain Processing Corporation's Request for Monetary Sanctions is CONTINUED to
_____.

4) Plaintiff

is ordered to give notice of this Court's ruling.

IT IS SO ORDERED.

DATED: September 15, 2026

Tamara

Hall

Judge

of the Superior Court